



Exam Papers Practice

The Determination of Equilibrium Market Prices

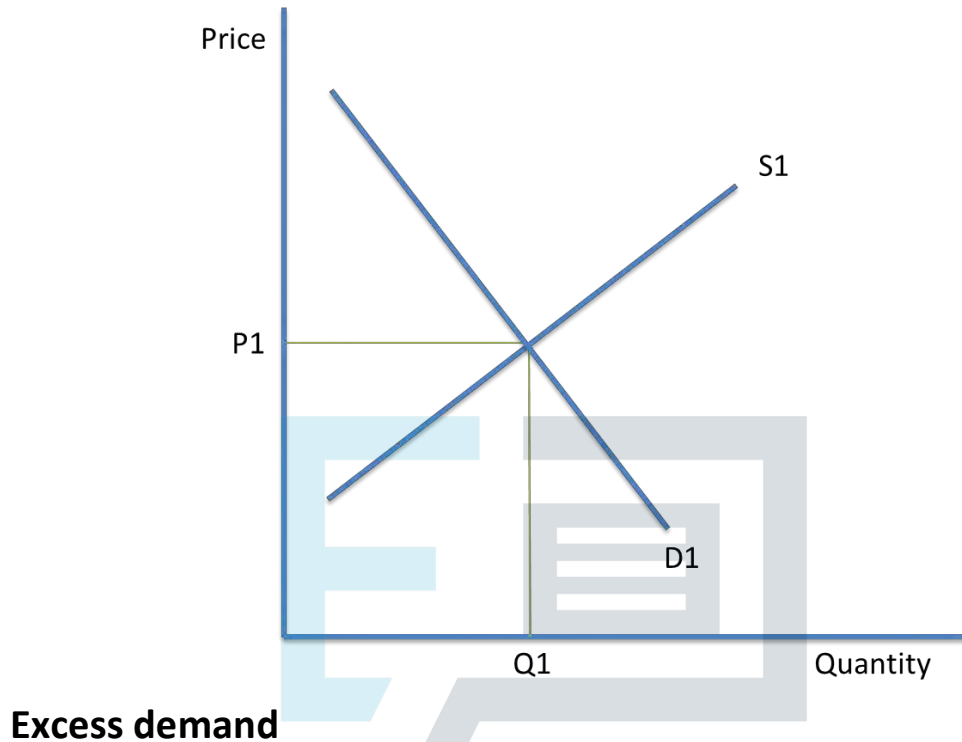


AQA AS Level Economics Revision Notes

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Equilibrium price and quantity

This is when supply meets demand. On the diagram, this is shown by P_1 and Q_1 . At market equilibrium, price has no tendency to change, and it is known as the **market clearing price**.



At Q_2 , price is at P_2 which is below market equilibrium. Demand is now greater than supply, which can be calculated by $Q_3 - Q_2$. This is a state of **disequilibrium**. The

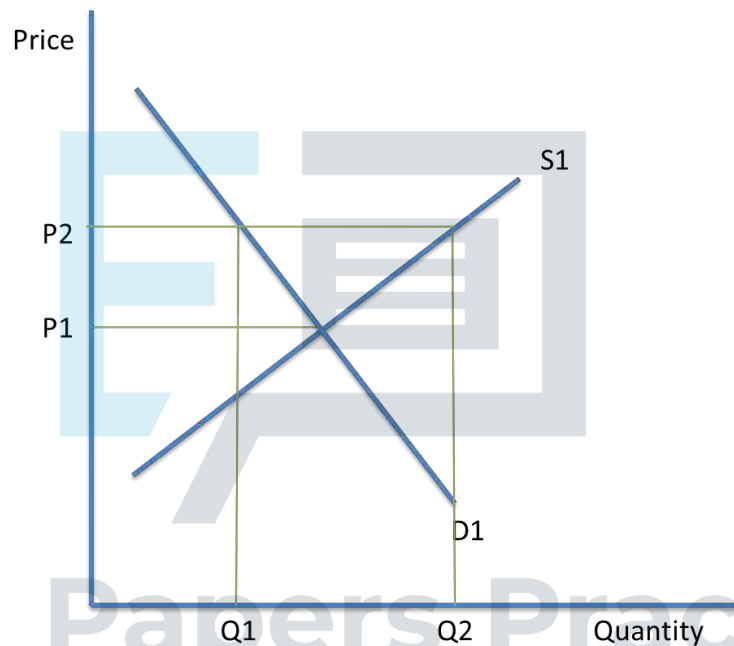
demand price does not equal the supply price, and the quantity demanded does not equal the quantity supplied.

This is a **shortage** in the market. This pushes prices up and causes firms to supply more. Since prices increase, demand will contract.

Once supply meets demand again, price will reach the market clearing price, P_1 .

Excess supply

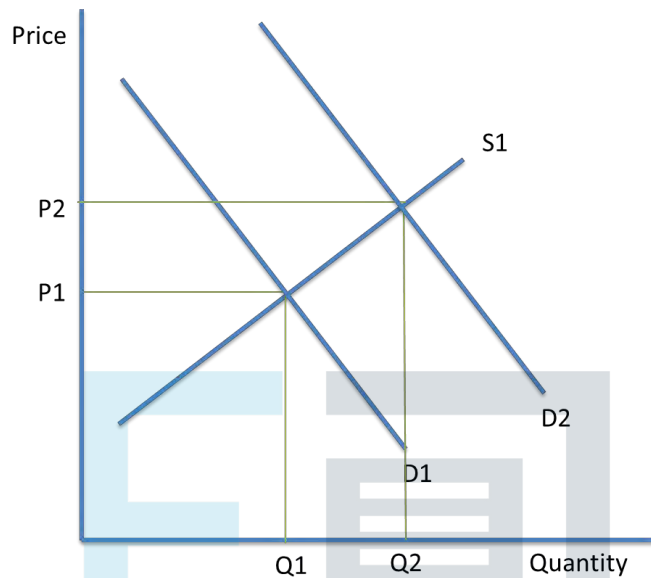
This is when price is above P_1 .



Supply is now at Q_2 and demand is at Q_1 . There is a **surplus** of $Q_2 - Q_1$. Price will fall back to P_1 as firms lower their prices and try to sell their goods. The market will clear and return to equilibrium.

New market equilibriums

When the demand or supply curves shift due to the PIRATES or PINTSWC reasons, new market equilibriums are established.



For example, if there was an increase in the size of the population, demand would shift from D1 to D2.

Price would increase to P2 and suppliers would supply a larger quantity of Q2. A new market equilibrium is established at P2 Q2.

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